

25CHCV04223 25CHCV04223

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Case Number: 25CHCV04223 Hearing Date: September 9, 2026 Dept: F43

Dept. F43

Hearing Date: 09-09-26

Case # 25CHCV04223, Avakian v. Newrez,
LLC, et al.

Trial Date: None set.

DEMURRER AND MOTION
TO STRIKE

MOVING PARTY: Defendant Prestige Default Services, LLC

RESPONDING PARTY: Plaintiff Shooshig Susan Avakian

RELIEF REQUESTED

Order sustaining defendant Prestige's
demurrer to the Second Amended Complaint's Second, Third, and Fourth Causes of
Action and striking emotional distress allegations, punitive damages, and
attorney fees.

RULING: Demurrer to the Second and Fourth Causes of
Action is sustained with leave to amend.

Demurrer to the Third Cause of Action is overruled. The motion to strike is granted with leave to
amend.

SUMMARY OF ACTION

On November 25, 2025, plaintiff Shooshig Susan Avakian (Plaintiff) filed this wrongful foreclosure action against defendants Newrez, LLC dba Shellpoint Mortgage Servicing (Newrez), Wilmington Savings Fund Society, FSB (Wilmington), VMC REO, LLC (VMC), and Prestige Default Services, LLC (Prestige). The matter concerns and alleged wrongful foreclosure on Property after Plaintiff defaulted on a mortgage loan.

The court previously sustained demurrers to the complaint with leave to amend. The First Amended Complaint pleaded (1) violation of Civ. Code, § 2923.7; (2) negligent misrepresentation; (3) wrongful foreclosure; (4) unfair business practices; and (5) cancellation of instrument. The court sustained defendant Prestige's demurrer to the First Amended Complaint's Second, Third, and Fourth Causes of Action with leave to amend. (6/16/2026 Minute Order.)

On June 30, 2026, Plaintiff filed a Second Amended Complaint (SAC), asserting the same causes of action and including factual allegations surrounding the alleged wrongful foreclosure and the unfair business practices claim.

On August 3 and 4, 2026, defendant Prestige filed a motion to strike punitive damages, emotional distress allegations, and attorney fees from the Second Amended Complaint and a demurrer to the Second, Third, and Fourth Causes of Action. No opposition was filed.

MEET AND CONFER

Demurrers and motions to strike must be accompanied by a "meet and confer" declaration stating that the parties met and conferred "in person, by telephone, or by video conference" and stating that (1) the parties failed to reach an agreement resolving the issues raised in the demurrer and motion to strike; or (2) that the party who filed the pleading subject to the demurrer or motion to strike failed to respond to the meet and confer request or failed to meet and confer in good faith. (Code Civ. Proc.,

§§ 430.41, subd. (a)(3), 435.5, subd. (a)(3).)

In Department F43, meet and confer means in person or via phone, not by letter or email. (Department F43 Courtroom Information, p. 2.)

It appears that counsel never spoke by telephone but exchanged emails concerning Prestige's issues because Plaintiffs' counsel did not directly respond to defense counsel's requests for a telephonic "meet and confer." Thus, the meet and confer requirement is met.

REQUESTS FOR JUDICIAL NOTICE

Defendant Prestige asks the court to take judicial notice of the following documents pursuant to Evidence Code section 452, subdivisions (c) and (d) and section 453:

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Exhibit A - The Deed of Trust executed by Plaintiff and recorded on April 22, 2022, in the Official Records of the Los Angeles County Recorder;

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Exhibit B - The Notice of Default and Election to Sell Under Deed of Trust recorded on September 25, 2024;

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Exhibit C - The Notice of Trustee's Sale recorded on January 3, 2025;

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Exhibit D - The Trustee's Deed Upon Sale recorded on September 15, 2025;

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Exhibit E - The Assignment of Deed of Trust transferring the beneficial interest in the Deed of Trust to defendant Wilmington, recorded on June 26, 2024;

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Exhibit F - The Assignment of Deed of Trust transferring the

beneficial interest in the Deed of Trust to defendant VMC, recorded on September 15, 2025;

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Exhibit G - The Minute Order entered by this Court on March 11, 2026, sustaining co-defendants Newrez, Wilmington, and VMC's demurrer to the Complaint;

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Exhibit I - The Minute Order entered by this Court on June 10, 2026, sustaining co-defendants Newrez, Wilmington, and VMC's demurrer to the First Amended Complaint; and

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Exhibit G - Minute Order entered by this Court on June 16, 2026, sustaining, with leave to amend, Prestige's demurrer to the Second, Third, and Fourth Causes of Action of the First Amended Complaint.

The court grants the request and takes judicial notice of the existence and recordation of all exhibits according to Evidence Code section 452, subdivision (c).

The court grants the request for Exhibits G and I pursuant to Evidence Code section 452, subdivision (d).

ANALYSIS

A. Demurrer

A party may respond to a pleading against it by demurrer based on one or more of eight enumerated grounds, including that "the pleading does not state facts sufficient to constitute a cause of action" and is uncertain, meaning "ambiguous and unintelligible." (Code Civ. Proc., § 430.10, subds. (e), (f).) The grounds for demurring must be apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law."

(Postley v. Harvey (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law[.]" (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.)

1. Second Cause of Action: Negligent Misrepresentation

Prestige contends the Second Cause of Action fails because Plaintiff does not identify a statutory provision or provision of the Deed of Trust which imposes a duty on Prestige, and Plaintiff newly alleges a conclusory common law duty.

Plaintiff does not oppose.

The court previously sustained Prestige's demurrer to the negligent misrepresentation cause of action because Plaintiff did not allege a proper basis for a duty of care owed by Prestige to Plaintiff. The court clarified the trustee of a deed of trust is a neutral third party who "has a general duty to conduct the foreclosure sale 'fairly, openly, reasonably, and with due diligence,' exercising sound discretion to protect the rights of the mortgagor and others." (Hatch v. Collins (1990) 225 Cal.App.3d 1104, 1112.) But this general duty gives rise to claims such as professional negligence, breach of an obligation created by statute, or fraud. (Id. at pp. 1112-1113 [comparing the trustee's statutory duties to that of a real estate agent].) The court also noted that the trustee's duties do not arise from common law principles but a specific statutory provision or a provision within the Deed of Trust. (See Vournas v. Fidelity Nat. Title Ins. Co. (1999) 73 Cal.App.4th 668, 677-678.)

To address the court's previous demurrer ruling, Plaintiff newly alleges the following: "The law imposes a duty not to make negligent misrepresentations of fact. Thus, Defendant Prestige had a duty not to make misrepresentations of fact to Plaintiff, particularly with regard to facts

uniquely within its custody and control in its status as the foreclosure trustee, armed with the duty to carry out nonjudicial foreclosure sales within the scope of California law.” (SAC ¶ 54.)

Plaintiff cites no statutory provision or provision within the Deed of Trust or other legal authority which states or demonstrates Prestige owed this particular duty of care to Plaintiff.

Therefore, the court sustains defendant Prestige’s demurrer to the Second Amended Complaint’s Second Cause of Action.

The court will allow Plaintiff one more opportunity to amend the complaint to allege a specific duty owed by Prestige and to cite the specific basis for that duty.

2. Third Cause of Action: Wrongful Disclosure

Next, Prestige contends the wrongful disclosure claim lacks merit because Plaintiff alleges no illegal, fraudulent, or willfully oppressive sale by Prestige, Plaintiff pleads no tender and thus her excuse fails because the sale is voidable, default independently defeats the claim, and Plaintiff’s alternate damages theory cannot avoid the duty requirement.

To establish wrongful foreclosure, the plaintiff must allege “(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering; and (4) no breach of condition or failure of performance existed on the mortgagor’s or trustor’s part which would have authorized the foreclosure or exercise of the power of sale.” (Majd v. Bank of America, N.A. (2015) 243 Cal.App.4th 1293, 1306-1307 [internal citation omitted].) “To successfully challenge a foreclosure sale based on a procedural irregularity, the plaintiff must show both that there was a failure to comply with the procedural requirements for the foreclosure sale and that the irregularity prejudiced the plaintiff.” (Citrus El Dorado, LLC v.

Chicago Title Co. (2019) 32 Cal.App.5th 943, 950.)

Here, Plaintiff relies on the alleged misrepresentation in the telephone message, the lack of listing, and Prestige following defendant VMC's unauthorized direction to conduct the foreclosure sale, despite the telephone misrepresentation. (SAC ¶¶ 26, 68 [alleging VMC is listed as the foreclosing beneficiary of the August 6, 2025, foreclosure sale despite not being the beneficiary of the Deed of Trust].) Plaintiff alleges the foreclosure was illegal, fraudulent, and oppressive because VMC was not the beneficiary of the deed of trust when the foreclosure sale occurred and had no authority to invoke the power of sale on August 6, 2026. (Id. ¶ 69.) VMC was not assigned the deed of trust until August 26, 2025. (SAC ¶ 69.) This is supported by Prestige's exhibits: the Assignment of the Deed of Trust shows Wilmington conveyed the deed of trust to defendant VMC on August 26, 2025. (Defendant's RJN - Exh. F.) The court infers from Plaintiff's allegations that Wilmington was the beneficiary of the foreclosure sale on August 6, 2025, and was the entity with authority to invoke the power of sale. Yet, the Trustee's Deed Upon Sale, dated September 11, 2025, identifies the Grantee (VMC) as the "Foreclosing Beneficiary" of the August 6, 2025 sale. (Defendant's RJN - Exh. D.) This suggests the wrong foreclosing beneficiary was listed on the Trustee's Deed Upon Sale or the document was prematurely completed.

Taking Plaintiff's allegations as true, if Prestige conducted the foreclosure sale at VMC's direction before VMC had authority to order the sale, this constitutes an illegal, fraudulent, or willfully oppressive sale. (SAC ¶ 70.) As a result, Plaintiff was prejudiced by suffering loss of her property. (Id. ¶¶ 71-72.)

However, Plaintiff does not allege she tendered indebtedness.

There are five exceptions to the tender requirement: (1) when the borrower's action attacks the validity of the underlying debt (since tender would constitute an affirmation of the debt); (2) when the person seeking to set aside the sale has a counterclaim or setoff against the beneficiary equal to or greater than the amount due; (3) when it would be inequitable to impose the tender condition on the party challenging the sale; (4) when the trustor is not required to rely on equity to attack the deed because the trustee's deed is void on its face (such as where

the original trustee had been substituted out before the sale occurred); and
(5) the foreclosure sale has not yet occurred.

(Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 112-115; Pfeifer
v. Countrywide Home Loans, Inc. (2012) 211 Cal.App.4th 1250, 1280-1281.)

Plaintiff alleges the foreclosure sale is void due to
VMC's lack of authority to direct Prestige to conduct the sale. (SAC ¶ 75.)
Moreover, Plaintiff alleges she is excused from tendering indebtedness
because "the party that stole title to the Property did not, at the time of
sale, have authority to foreclose on the Property. Therefore, any tender to VMC at the time of
the foreclosure sale, would not have been made to an entity with a beneficial
interest in the Deed of Trust." (Id.) In
the alternative, Plaintiff sues for a claim of damages under a negligence
theory, re-alleging Prestige's misconduct through the phone recording and lack
of listing. (Id. ¶ 76(c).)

Based on the SAC's amended
allegations that "VMC directed Prestige to proceed with the foreclosure" despite
VMC's lack of authority to do so, the foreclosure sale and the Trustee's Deed
Upon Sale are void. (SAC ¶ 68.) Thus, Plaintiff adequately alleges excuse
from tendering.

Plaintiff also adequately
alleges the fourth element because she demonstrates Prestige conducted the
foreclosure sale under the direction of defendant VMC, who had no authority to
invoke the power of sale. Plaintiff
alleges no breach of condition or failure of performance by Plaintiff that
would have granted VMC authority to order the foreclosure sale or for Prestige
to follow VMC's direction.

Thus, the court overrules the demurrer to the Third Cause
of Action as to defendant Prestige.

3. Fourth Cause of Action: Unfair Business Practices

Prestige demurs to the Unfair Business Practices claim as
derivative of failed causes of action and because Plaintiff cannot seek a
remedy against Prestige such as restitution or injunctive relief.

The wrongful foreclosure cause of action serves as a basis

for Plaintiff's Fourth Cause of Action.

(SAC ¶ 79(c).)

California's Unfair Competition Law (UCL) prohibits unlawful, unfair or fraudulent business practices. (Bus. & Prof. Code, § 17200, et seq.) To assert a UCL claim, a plaintiff must have suffered injury in fact and lost money or property as a result of the unfair competition. (See Bus. & Prof. Code, § 17204.) Unfair behavior under the UCL is behavior that is "immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers." (Bardin v. Daimlerchrysler Corp. (2006) 136 Cal.App.4th 1255, 1260.)

Plaintiff pleads her UCL violation under the "unfair" prong, asserting the practices are immoral, unethical, and oppressive and violate legislatively stated public policy and seeks injunctive relief, disgorgement of sums wrongfully obtained, costs of suit, and attorney fees. (SAC ¶¶ 79, 80, 85-87.)

A business practice is "unfair" if the challenged practice is "tethered to an underlying constitutional, statutory, or regulatory provision[]" or "threatens an incipient violation of an antitrust law, or violates the policy or spirit of an antitrust law." (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1365-1366.) The complaint must allege facts sufficient to show violation of the predicate law and resulting harm. (People v. McKale (1979) 25 Cal.3d 626, 635 ["Without supporting facts demonstrating the illegality of a rule or regulation, an allegation that it is in violation of a specific statute is purely conclusionary and insufficient to withstand demurrer."].)

To satisfy the standing requirements under the UCL, the complete must plead (1) loss or deprivation of money or property sufficient to qualify as an injury-in-fact and (2) show that the injury was caused by an unfair business practice. (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 323-324.) "At the pleading stage, general factual allegations of injury resulting from the defendant's conduct may suffice." (Id. at p. 327.) The plaintiff fails to satisfy the causation prong if they would have suffered "the same harm whether or not a defendant

complied with the law.” (Daro v. Superior Court (2007) 151 Cal.App.4th 1079, 1099.)

Plaintiff alleges an economic injury of loss of money and property resulting from unfair conduct.

(SAC ¶¶ 84-87.) Although

Plaintiff does not explicitly allege she is in default, she admits she fell behind on her loan payments and does not challenge the validity of the Notice of Default presented by Defendants.

Furthermore, the foreclosure has already occurred, and the Trustee's

Deed Upon Sale was recorded on September 15, 2025. (Defendants' RJN - Exh. D.) Thus, Plaintiff alleges the wrongful nonjudicial

foreclosure (ordered by an entity lacking authority to invoke the power of sale) caused her economic injury. (Id.

¶¶ 79(c), 83-87.)

Although Plaintiff has established causation and an

injury (loss of property and equity in the property), Plaintiff does not state

Prestige acquired any money or property as a result of the wrongful

foreclosure. At most, Plaintiff

establishes that VMC received title in the Property. Thus, Plaintiff cannot seek disgorgement, restitution, or injunctive relief against Prestige.

Therefore, the court sustains the demurrer to the Fourth Cause of Action with leave to amend as to Prestige.

B. Motion

to Strike

“Any party, within the time allowed to respond to a

pleading may serve and file a notice of motion to strike the whole or any part

thereof.” (Code Civ. Proc., § 435.) A court may, upon motion or at any time,

strike from the complaint “any irrelevant, false, or improper matter” or “all

or any part of any pleading not drawn or filed in conformity with the laws of

this state, a court rule, or an order of the court.” (Code Civ. Proc., §§ 436, subds. (a)-(b),

187; Greshko v. County of Los Angeles (1987) 194 Cal.App.3d 822, 830

[noting the court's inherent power to limit the focus of the proceedings to the

issues framed by the remaining viable pleadings].) An “irrelevant matter” is an allegation that

“is not essential to the statement of a claim or defense,” “is neither

pertinent to nor supported by an otherwise sufficient claim or defense,” or “a

demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.” (Code Civ. Proc., § 431.10, subds. (b)-(c).)

The court must read the factual allegations in the complaint as a whole and assume their truth. (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.)

Defendant Prestige moves to strike the following from the Second Amended Complaint:

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Paragraph 73, page 13, in its entirety:

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Paragraph 74, page 13, in its entirety;

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Paragraph 2 of the Prayer for Damages, page 17, in its entirety;

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Paragraph 3 of the Prayer for Damages, page 17, in its entirety;

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Paragraph 5 of the Prayer for Relief, page 17: The phrase “attorneys’ fees”; and

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Paragraph 6 of the Prayer for Damages, page 17, in its entirety

The court grants the motion concerning injunctive relief (Paragraphs 2 and 3 of the Prayer for Relief) and “attorney fees” (Paragraph 5 of the Prayer for Relief, page 17) as it pertains to defendant Prestige because the court has sustained Prestige’s demurrer to the Fourth Cause of Action.

1. Punitive Damages

Prestige contends Plaintiff alleges no facts indicating

malicious, fraudulent, or oppressive conduct.

At most Plaintiff alleges conclusory statements that Prestige should have known its phone message was inaccurate or intended to harm Plaintiff. Finally, Plaintiff fails to allege corporate ratification or knowledge of any such conduct.

A motion to strike punitive damages may lie where the alleged facts do not rise to the level of "malice, fraud, or oppression" required to support punitive damages. (Turman v. Turning Point of Central California, Inc. (2010) 191 Cal.App.4th 53, 63.) To state a prima facie claim for punitive damages, a complaint must set forth specific facts demonstrating the elements stated in Civil Code section 3294. (College Hospital, Inc. v. Superior Court (1994) 8 Cal.4th 704, 721; see also Brousseau v. Jarrett (1977) 73 Cal.App.3d 864, 872.) "Malice is defined in the statute as conduct intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Id. at p. 725; Civ. Code, § 3294, subd. (c)(1).) Oppression is "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code, § 3294, subd. (c)(2).) Fraud is "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code, § 3294, subd. (c)(3).) "Malice and oppression may be inferred from the circumstances of a defendant's conduct." (J. R. Norton Co. v. General Teamsters, Warehousemen & Helpers Union, Local 890 (1989) 208 Cal.App.3d 430, 444.)

Conclusory statements characterizing a defendant's conduct as intentional, willful, and fraudulent are insufficient to plead fraud or malice. (Brousseau v. Jarrett (1977) 73 Cal.App.3d 864, 872.) The complaint must state "specific facts showing that defendant's conduct was oppressive, fraudulent or malicious (e.g., that defendant acted with the intent to inflict great bodily harm on plaintiff or to destroy plaintiff's property or reputation)." (Croskey, et al., Cal. Prac. Guide: Insurance Litigation Ch. 13-C (Thomson Reuters, 2016) ¶ 13:197.2; see Anschutz Entertainment Group, Inc. v. Snepp (2009) 171 Cal.App.4th 598, 643 [allegations that defendant's conduct was "intentional, and done

willfully, maliciously, with ill will towards Plaintiffs, and with conscious disregard for Plaintiff's rights" did not satisfy specific pleading requirements].) A complaint must plead ultimate facts to support punitive damages. (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255; Antelope Valley Groundwater Cases (2020) 59 Cal.App.5th 241, 265 ["[T]he term 'ultimate fact' generally refers to a core fact, such as an essential element of a claim."].)

"A corporation may be held liable for punitive damages for the acts of its agents and employees when the act is motivated by actual malice or done under circumstances amounting to oppression, providing that the act is done with the knowledge or under the direction of corporate officials having power to bind the corporation." (J. R. Norton Co., supra, 208 Cal.App.3d at p. 445; see also College Hosp., Inc., supra, 8 Cal.4th at p. 726 ["Corporate ratification in the punitive damages context requires actual knowledge of the conduct and its outrageous nature."].) A corporation may also be held liable for punitive damages for the acts of specific agents or employees if the specific agent was an officer, director, other managing agent, acting on behalf of the corporation.

Here, the court finds that Plaintiff adequately alleges despicable conduct (VMC invoking the power of sale despite lacking authority to do so) which showed a conscious disregard for Plaintiff's rights to ownership the Property. (SAC ¶¶ 68-69.) Prestige also engaged in despicable conduct by acting at under the direction of VMC and conducting the foreclosure sale on Plaintiff's Property. As a result, VMC now owns the Property. This demonstrates a conscious disregard for Plaintiff's rights in the Property. Moreover, Plaintiff alleges the conduct was known to and ratified by member of Defendant's management. (Id. ¶ 74.)

However, Plaintiff fails to clarify which Defendant's conduct is implicated in paragraph 74.

At first, Plaintiff states "Defendants are guilty of malice, fraud and/or oppression." Plaintiff then begins referencing the conduct of a single Defendant without clarifying whether this defendant is VMC or Prestige.

Therefore, the court grants the motion as to punitive damages (Paragraph 74 and Paragraph 6 of the Prayer for Damages, page 17) as to

defendant Prestige with leave to amend.

2. Emotional Damages

Prestige contends Plaintiff fails to allege conduct by Prestige which proximately caused any emotional damages other than the phone message concerning the postponement.

Plaintiff alleges she “has suffered severe emotional distress, loss of appetite, frustration, fear, anger, helplessness, nervousness, anxiety, sleeplessness, sadness, and depression, according to proof at trial but within the jurisdiction of this Court.” (SAC ¶ 73.)

However, Plaintiff fails to allege that Prestige's conduct was a proximate cause of the emotional distress damages or to state a direct causal link between Prestige's specific conduct and Plaintiff's emotional distress damages.

Therefore, the court grants the motion as to emotional distress damages in Paragraph 73 with leave to amend.

CONCLUSION and ORDER

Demurrer to the Second Amended Complaint is sustained as to the Second and Fourth Causes of Action and overruled as to the Third Cause of Action as to defendant Prestige Default Services, LLC, with leave to amend.

The motion to strike is granted with leave to amend.

Plaintiff may file and serve an amended complaint within thirty (30) days of the issuing of this order.

Defendant Prestige Default Services, LLC to give notice.